

Divis Laboratories Ltd (DIVISLAB)

Sector: Healthcare

ROE

11.8%

ROCE

13.5%

D/E

0.00x

OPM

28.2%

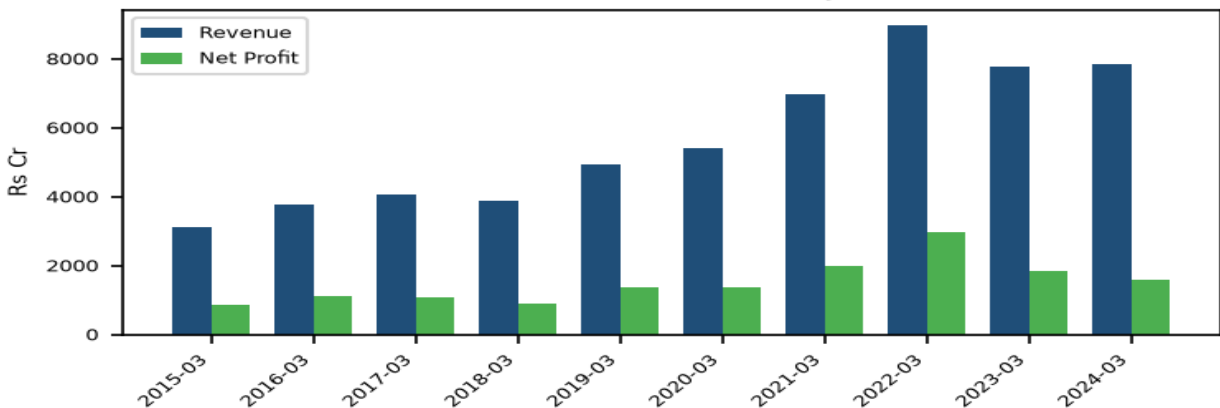
Revenue CAGR 5yr

9.7%

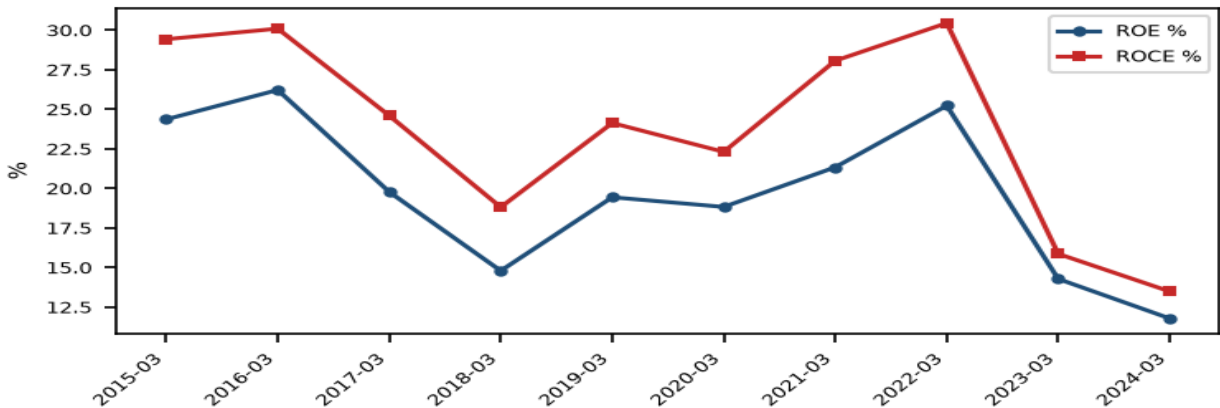
Free Cash Flow

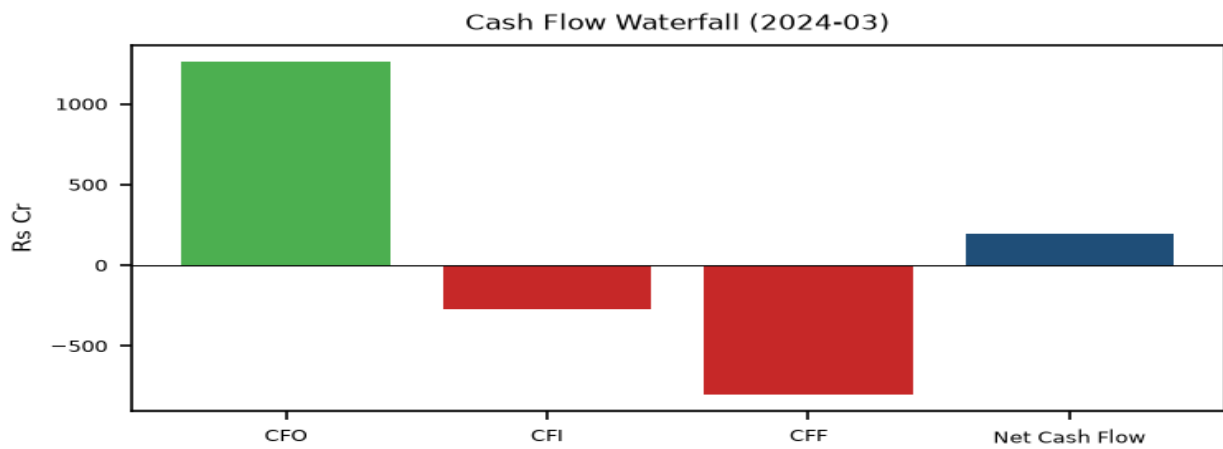
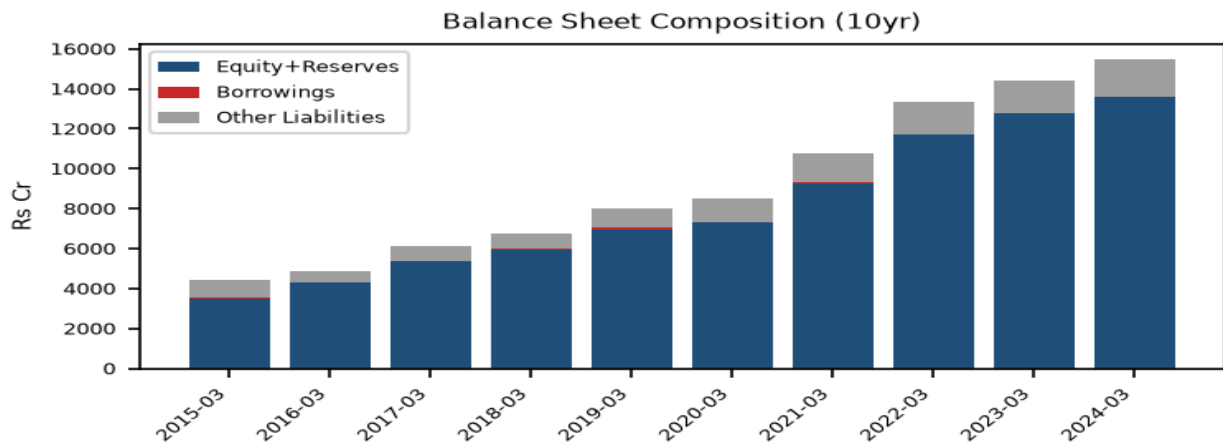
Rs 992 Cr

Revenue & Net Profit (10yr)



ROE vs ROCE (10yr)





Pros

- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Very high interest coverage ratio reflects negligible financial stress from debt servicing

Cons

- Operating margins declining for 3 consecutive years suggest pricing or cost pressure
- Earnings per share declining for 3 consecutive years reflects deteriorating profitability

Capital Allocation: Reinvestor